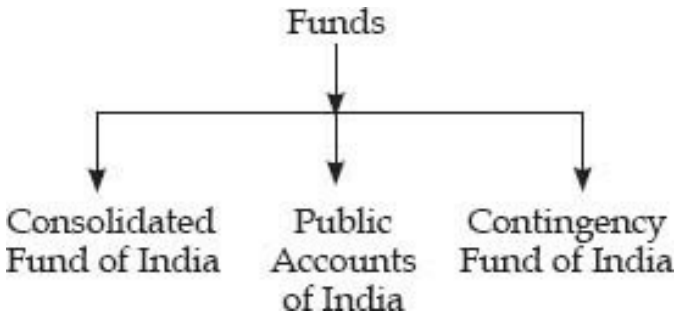
Figure 5.1



A. Consolidated Fund of India

The Consolidated Fund has been defined in Article 266 (1) of the Constitution. According to this, all revenues received by the Government of India, all loans raised by that Government by the issue of treasury bills, loans or ways and means advances and all moneys received by that Government in repayment of loans shall form one consolidated fund which is entitled as "The Consolidated Fund of India".[2]

All expenses incurred by the Government including repayment of debts and loans given to State Governments/UTs is spent from this Fund.

B. Public Accounts of India

It is established under Article 266 (2) of the Constitution. All public money received other than those included in Consolidated Fund of India are held in Public Accounts of India. This account mainly consists of money raised through small saving schemes, provident fund schemes, etc. The government is just custodian of these. It has to repay either on maturity date or whenever claimed by people. This kind of debt or obligation raised by the government is called **other liabilities**. But it is to be noted that Public Accounts of India doesn't contain other liabilities alone. There are some other receipts also.